The Canadian Investment Marketplace

CHAPTER 2: The Canadian Securities Industry

General Discussion

- The different financial intermediaries have developed over time to meet the varied needs of investors, corporations, governments, etc.
- These intermediaries play many roles: IPOs, savings and deposits, discount brokerage, clearing.
- The Canadian securities industry is also a major employer in the economy.

Financial Intermediaries

Dealer/**Principal** Transactions:

- Investment dealers own the security
- Profit comes in the form of spread
- Assumes risk
- Take place in both primary and secondary markets
- Underwriting/financing of debt/equity

Financial Intermediaries

Broker/**Agency** Transactions:

- Broker has no ownership position
- Acts on client's behalf
- Profit is in the form of commission

Financial Intermediaries

Summary of Principal/Agency

	Principal	**Agency**
	"Investment Dealer"	"Investment Advisor"
Primary	Underwrite	
	"Bought Deal"	"Best Efforts" "Marketed Deal"
	Profit $\Rightarrow$ "Spread"	Profit $\Rightarrow$ "Commission"
	Dealer's Risk	Issuer's Risk
Secondary	Sell Own Inventory	Sell Customer's Security
	Profit $\Rightarrow$ "Spread" Dealer's Risk	Profit $\Rightarrow$ "Commission" Investor's Risk

Other Financial Intermediaries

- Banks
  - Schedule I
  - Schedule II
  - Schedule III
- Trust Companies
- Credit Unions
- Insurance Companies
- Pension Funds
- Investment Funds